Unilever in the Global Economy, 2020–2025

BUSI 1763 · Group Mind Map · One question: how does Unilever grow in the US, its biggest market? · 2020–2025 · all money in €

UNILEVER

UK-based consumer goods MNE
Growing in the US, its biggest market

Globalisation

Speaker 1 · WHY the US

Levitt: one world market

the same global brands everywhere (e.g. Dove)

Five drivers (lecture)

political · technology · market · cost · competition; focus: technology, cost, political

Globalisation of markets

€50.5bn turnover (2025): 59% from emerging markets

The US stands out

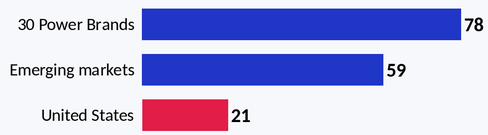
about 21% of turnover (2025): the biggest single market

Global vs local = transnational

Dove: one global brand, local ranges · Power Brands 78%

Key numbers · WHY the US

Share of Unilever turnover, 2025 (%)



Regional Integration

Speaker 4 · HOW it supplies the US

Five levels of integration

FTA → customs union → common market → union

USMCA = free trade area

replaced NAFTA (Jul 2020) · Mexico ≈ 16% of US goods trade (2023)

Rules of origin

qualifying goods cross the borders tariff-free

Trade creation vs diversion

Mexico plant +100% to ≈ €0.71bn (Apr 2025), mainly for the US

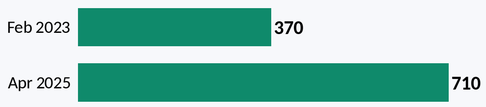
Benefit vs limit

tariff-free access to the US · only ≈ 50% of US imports from Mexico qualify (2024)

Key numbers · HOW it supplies the US

Mexico ≈ 16% of US goods trade · ≈ 50% of imports use USMCA

Nuevo León plant: planned investment (€m), +100%



MNEs from Advanced Economies + ESG

Speaker 3 · WHAT it brings

MNE goals vs host-country goals

returns, costs vs jobs, control, clean environment

Ownership advantages

UK brands (Power Brands 78%) · R&D ≈ €1bn, 1.6% of turnover (2024)

Goal conflicts with the host

profit vs jobs: ≈ 6% of staff cut (Mar 2024) · US tariffs (Mar 2025)

ESG = what the host compares

environmental · social · governance; CSR = the firm's own plan

E: progress vs setbacks

own emissions −77% vs 2015 · virgin plastic −29% vs −50% target (Dec 2025)

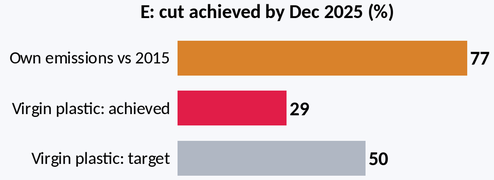
G, and a critical view

99.6% shareholder climate vote (May 2021) · Terry Smith: "lost the plot" (Jan 2022)

Key numbers · WHAT it brings (ESG)

R&D ≈ 1.6% of turnover · jobs cut ≈ 6% of workforce (2024)

E: cut achieved by Dec 2025 (%)



FDI

Speaker 2 · HOW it grows in the US

OLI model (Dunning)

O: brands, financial resources · L: biggest market, high purchasing power · I: owns the brands

Four motives

market · resource · efficiency · strategic asset

FDI entry mode: greenfield vs M&A

Unilever in the US = mainly M&A

Strategic asset-seeking: deals 2021–2025

Paula's Choice €1.83bn · Nutrafol (80%) €811m
K18 (price not disclosed) · Dr. Squatch €1.24bn

Benefit for Unilever

US sales +33% vs company +20% (2020–24) · premium = 70% of US beauty sales

Key numbers · HOW it grows in the US

US sales +33% vs whole company +20% (2020–24)

Unilever turnover in the US (€bn)



*2025 excludes Ice Cream (demerged Dec 2025)

Sources: Unilever PLC Annual Reports on Form 20-F 2020–2025; UNCTAD World Investment Report 2025; US Census Bureau; USTR; ECB euro reference rates (US$ converted to €); full Harvard references on our presentation slides.